

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

L & A SHIPPING, INC., REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE No. 026495

DOCKET NO. 24-02

Served: May 14, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge.*

INITIAL DECISION REVOKING OCEAN TRANSPORTATION INTERMEDIARY LICENSE¹

I. INTRODUCTION

A. Summary and Background

In this proceeding, the Bureau of Certification and Licensing (“BCL”) and the Bureau of Enforcement, Investigations, and Compliance (“BEIC”) at the Federal Maritime Commission (“FMC” or “Commission”) contend that Respondent L & A Shipping, Inc. (“L & A Shipping”) should have its ocean transportation intermediary (“OTI”) license revoked. L & A Shipping, representing itself, requested a hearing on the proposed revocation of its license on January 7, 2024.

According to the Commission’s Bureau of Trade Analysis (“BTA”), Respondent L & A Shipping was licensed by the Commission as an ocean freight forwarder and non-vessel operating common carrier (“NVOCC”) on August 2, 2017. On or about August 31, 2020, BTA received notice that L & A Shipping’s tariff was cancelled effective July 1, 2020. BTA subsequently sent a series of communications to L & A Shipping in 2020 through 2022, which produced no response from L & A Shipping.

As a result, BCL notified L & A Shipping on December 18, 2023, that it intended to revoke L & A Shipping’s OTI license, because it had determined that L & A Shipping had violated 46 C.F.R. § 515.16(a)(1) of the Commission’s regulations by failing to timely publish a tariff, as required by 46 U.S.C. § 40501; and 46 C.F.R. § 515.16(a)(2) by failing to respond to a lawful inquiry by the Commission.

B. Procedural History

L & A Shipping requested a hearing in connection with the proposed revocation, and the Secretary of the Commission assigned this proceeding to the Office of Administrative Law

¹ This initial decision will become final within 22 days of service of this decision in the absence of exceptions filed by either party or review by the Commission. 46 C.F.R. § 502.708(c).

Judges for adjudication. On January 8, 2024, the Secretary issued a Notice of Hearing Request and Assignment, stating that on December 18, 2023, BCL had notified L & A Shipping by letter that the Commission intended to revoke its OTI license, and that on January 7, 2024, L & A Shipping had requested a hearing on the proposed revocation pursuant to the Commission's Rules at 46 C.F.R. § 515.17 and 46 C.F.R. Part 502, Subpart X. The Secretary assigned this proceeding to the Office of Administrative Law Judges for adjudication, pursuant to Rule 702(a) at Subpart X. 46 C.F.R. § 502.702(a).

On January 18, 2024, a Notice and Initial Order ("Notice") was issued pursuant to Rule 702(b), notifying OE and BCL of L & A Shipping's hearing request. The Notice then instructed BEIC to file a copy of the notice given to L & A Shipping and a copy of BCL's materials supporting the notice, by February 19, 2024, as well as to serve the same documents on L & A Shipping pursuant to 46 C.F.R. § 502.702(b). The Notice also indicated that OE may file a brief outlining its legal arguments, proposed findings of fact, and additional information.

On February 16, 2024, BEIC filed the Notice of Revocation issued to L & A Shipping by BCL, and an appendix of materials supporting the Notice ("BEIC App."). BEIC indicated that it respectfully declined the opportunity to file a brief, and that it would submit its reply within 20 days of L & A Shipping's response. On February 22, 2024, a Notice and Scheduling Order was issued, establishing a deadline of March 25, 2024 for L & A Shipping to file any reply, and a deadline of 20 days after service of L & A Shipping's response for BEIC to file its reply.

No response was filed by L & A Shipping by March 25, 2024, or thereafter. In addition, no response was received from BEIC by its April 14, 2024 deadline.

Pursuant to Subpart X, Rule 708, the initial decision is due within 40 days of OE's reply deadline of April 14, 2024, *i.e.* within 40 day of the record being closed. 46 C.F.R. § 502.708(a); *see also* Final Rule: Hearing Procedures Governing the Denial, Revocation, or Suspension of an OTI License, 85 Fed. Reg. 5579, 5581 (Jan. 29, 2020).

C. Argument of the Parties

As noted, L&A Shipping has not participated in this proceeding since its request for a hearing on January 7, 2024. It has not submitted any arguments, nor has it provided any information concerning its plans for publishing a tariff, nor any explanation for its lack of response to Commission inquiries. The presiding officer's notices pursuant to 46 C.F.R. §§ 502.702 and 502.703 were served to the email address from which L & A Shipping transmitted its hearing request (lamineasbcompany@gmail.com) – since all parties are under a continuing obligation to provide the Commission with accurate and current contact information, including email addresses, I will presume that these orders reached L & A Shipping. 46 C.F.R. § 502.2(i).

BEIC submitted the required materials supporting notice of intent to revoke on February 16, 2024. BEIC did not submit proposed findings of fact or a brief in support of revocation. However, in its December 18, 2023 letter, BCL indicated its intent to revoke L & A Shipping's OTI license for failure to timely publish a tariff as required by 46 U.S.C. § 40501. BCL also noted that failure to respond to any lawful order or inquiry by the Commission is grounds for revocation or suspension of a license as set forth in 46 CFR § 515.16. BCL further provided a list

of attempts to contact L & A Shipping by email and phone between September 25, 2020 and May 26, 2022, adding that L & A Shipping did not respond to any of these messages.

II. CONTROLLING AUTHORITY AND FACTUAL FINDINGS

A. Controlling Legal Authority

The Shipping Act grants authority to revoke an OTI's license under certain conditions:

The Federal Maritime Commission, after notice and opportunity for a hearing, shall suspend or revoke an ocean transportation intermediary's license if the Commission finds that the ocean transportation intermediary –

- (1) is not qualified to provide intermediary services; or
- (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.

46 U.S.C. § 40903(a). The relevant “provision of this part” is 46 U.S.C. § 40501, which requires common carriers to publish its tariffs:

(a) Automated tariff system.--

(1) In general.--Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established. However, a common carrier is not required to state separately or otherwise reveal in tariffs the inland divisions of a through rate.

46 U.S.C. § 40501. The Commission's regulations, consistent with these statutory provisions, require NVOCCs² such as L & A Shipping to inform the Commission of the location of their tariffs and warns NVOCCs that failure to maintain a tariff will result in license revocation:

(a) General. Unless otherwise exempted or excepted by § 520.13, all common carriers and conferences must keep open for public inspection in automated tariff systems tariffs showing all rates, charges, classifications, rules, and practices between all points or ports on their own routes and on any through transportation route that has been established.

* * *

(d) Notification.

² The Shipping Act provides that the term “ocean transportation intermediary” means “an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). The term non-vessel-operating common carrier is in turn defined as a common carrier that “(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17).

(1) Prior to the commencement of common carrier service pursuant to a published tariff, each common carrier and conference must electronically submit to BTA Form FMC-1 via the Commission's website www.fmc.gov.

(2) The common carrier and conference must include on Form FMC-1 its organization name, organization number, home office address, name and email address and telephone number of the firm's representative, the location of its tariffs, and the publisher, if any, used to maintain its tariffs.

(3) Any changes to the above information must be transmitted to BTA within 30 calendar days.

* * *

(e) Location of tariffs. The Commission will publish on its website, www.fmc.gov, a list of the locations of all common carrier and conference tariffs.

(f) NVOCC failure to maintain tariff. Failure to maintain a tariff will result in revocation of an NVOCC's license or suspension of a foreign-based unlicensed NVOCC's registration.

46 C.F.R. § 520.3.

Further, under the Commission's regulations, a license may be revoked or suspended for reasons including failure to respond to a Commission inquiry:

(a) Grounds. Except for the automatic revocation for termination of proof of financial responsibility under § 515.26, a license may be revoked or suspended after notice and an opportunity for a hearing under the procedures of § 515.17. The notice of revocation or suspension will provide, in detail, a statement of the facts supporting the action. The licensee may request a hearing on the proposed revocation or suspension by submitting to the Commission's Secretary, within twenty (20) days of the date of the notice, a statement of reasons why the license should not be revoked or suspended. Such hearing shall be provided pursuant to the procedures contained in § 515.17. Otherwise, the action regarding the license will become effective. A license may be revoked or suspended for any of the following reasons:

- (1) Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;

(4) A Commission determination that the licensee is not qualified to render intermediary services; or

(5) Failure to honor the licensee's financial obligations to the Commission.

46 C.F.R. § 515.16(a).

B. Burden of Proof

Under the Administrative Procedure Act ("APA"), an Administrative Law Judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence."

5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). The APA provides that "[e]xcept as otherwise provided by statute, the proponent of a rule or order has the burden of proof." 5 U.S.C. § 556(d). The term "burden of proof" as used in the APA has been construed to mean burden of persuasion. *Revocation of Ocean Transportation Intermediary License No. 021899 - Trans World Logistics Corporation*, Docket No. 12-04, 2012 WL 11914708, at *2 (FMC July 20, 2012) (citing *Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994)). When "the party with the burden of persuasion establishes a *prima facie* case supported by 'credible and credited evidence,' it must either be rebutted or accepted as true." *Id.* As set forth in the Findings of Fact below, the materials filed by BEIC, which I find credible, establish a *prima facie* case, which L & A Shipping has not rebutted.

In addition, this initial decision addresses only material issues of fact and law. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

C. Findings of Fact ("FOF")

1. L & A Shipping was licensed as an ocean freight forwarder and NVOCC on August 2, 2017. BEIC App., Ex. 4 at BEIC12.
2. On August 28, 2017, BTA received an initial FMC-1 filing from L & A Shipping advising that its tariff was published by Distribution Publications, Inc. ("DPI"). BEIC App., Ex. 4 at BEIC012.
3. On or about August 31, 2020, BTA received notification from DPI advising that the tariff for L & A Shipping was cancelled effective July 1, 2020.
4. On September 25, 2020, the Service Contracts and Tariff Compliance ("SCTC") office staff in BTA emailed L & A Shipping, stating that a tariff cancellation notice had been received from DPI, advising that its tariff was cancelled effective July 1, 2020. BEIC

App., Ex. 2 at BEIC007. SCTC continued: “If your tariff is not cancelled but being published at another location, you must submit Form FMC-1 to notify us of the new location. If you are no longer operating as an NVOCC you must contact your surety agent to request cancellation of your NVOCC bond.” *Id.* SCTC then requested a response within 10 business days and warned “Failure to publish a tariff and file Form FMC-1 is in violation of the Commission’s regulations and will result in fines and/or penalties and may ultimately result in license revocation.” *Id.* No response was received from L & A Shipping. BEIC App., Ex. 4 at BEIC012.

5. On November 10, 2020, SCTC staff sent a follow-up email to L & A Shipping, requesting a response within ten business days regarding its plans for publishing a tariff and submitting Form FMC-1. BEIC App., Ex. 2 at BEIC010, Ex. 4 at BEIC012. No response was received from L & A Shipping. BEIC App., Ex. 4 at BEIC012.
6. On November 19, 2020, SCTC staff sent another email to L & A Shipping, stating that the Commission’s regulations require carriers to publish a tariff and submit Form FMC-1 to advise the public of the location of their tariff, and noting: “If you intend to keep your OTI license you must publish a tariff. If you do not comply with the Commission’s regulations, your license could become subject to revocation. Your immediate attention to this matter is strongly encouraged.” BEIC App., Ex. 2 at BEIC009-010, Ex. 4 at BEIC013. L & A Shipping did not respond to this message. BEIC App., Ex. 4 at BEIC012.
7. On February 3, 2021, SCTC again emailed L & A Shipping, writing:

This is our 3rd attempt at trying to resolve the issue of your tariff cancellation. It has been practically 7 months since your tariff was cancelled, and you have not responded to our previous e-mails. The Commission’s regulations at 46 CFR Part 520.3 require NVOCCs to publish a tariff and file Form FMC-1 with this Commission to notify the public of the location of your tariff.

You are operating in violation of the Commission’s rules for Carrier Automated Tariff systems and continued violation of the Commission’s regulations will result in enforcement action which could result in the revocation of your current OTI license.

Again, we request a response to this e-mail within 10 business days or we will forward this matter to the Commission’s Bureau of Enforcement for any action deemed appropriate.

BEIC App., Ex. 2 at BEIC009, Ex. 4 at BEIC013. No response was received from L & A Shipping. BEIC App., Ex. 4 at BEIC012.

8. On May 26, 2022, SCTC made a phone call to L & A Shipping and left a voicemail message. No response was received from L & A Shipping. BEIC App., Ex. 4 at BEIC013.

9. In June 2022, L & A Shipping was referred to BEIC for follow-up. BEIC App., Ex. 4 at BEIC013. L & A Shipping continued not to submit a Form FMC-1 filing. *Id.*
10. On September 19, 2023, BEIC referred L & A Shipping back to BTA. BEIC App., Ex. 4 at BEIC013.
11. In late 2023, BTA referred L & A Shipping's noncompliance to BCL, providing a background summary and stating that "since BTA's attempts at bringing L & A Shipping into compliance have been unsuccessful, we are forwarding this matter to BCL for whatever action deemed appropriate." BEIC App., Ex. 4 at BEIC013.
12. On December 18, 2023, BCL sent to L & A Shipping a notice of intent to revoke its OTI license. BEIC App., Ex. 1 at BEIC004.

III. DISCUSSION

A. The Evidence Supports a Finding that L & A Shipping's OTI License Should be Revoked

The materials submitted by BEIC support a finding that L & A Shipping's OTI license should be revoked, and no evidence of record contradicts the materials submitted in support of revocation. Pursuant to the Shipping Act, an OTI's license is subject to revocation, including for willfully failing to comply with a provision of the Shipping Act or any other statute, a Commission order, or regulation. 46 U.S.C § 40903(a). The Commission's regulations subject an OTI's license to revocation for, in pertinent part, a violation of any provision of the Shipping Act or any statute, a Commission order or regulation related to carrying on the business of an OTI, or failure to respond to any lawful order or inquiry by the Commission. 46 C.F.R § 515.16(a).

Here, L & A Shipping's tariff was cancelled as of July 1, 2020. FOF 3. If L & A Shipping intended to publish its tariff at a new location, it was required to file Form FMC-1 with the Commission to notify the public of the location of its tariff. 46 C.F.R. § 520.3. As this rule further specifies, "[f]ailure to maintain a tariff will result in revocation of an NVOCC's license." 46 C.F.R. § 520.3(f). There is no evidence in the record to support that L & A Shipping has either published a tariff or filed a Form FMC-1 subsequent to its cancellation on July 1, 2020. The record thus supports a finding that L & A Shipping failed to comply with the Commission's regulations at 46 C.F.R. § 520.3.

In addition, Commission regulations provide that an OTI license may be revoked for failure to respond to lawful orders or inquiries by the Commission. 46 C.F.R. § 515.16(a)(2). Here, the evidence demonstrates that L & A Shipping failed to respond to any of BTA's lawful inquiries, including its September 25, 2020 email, November 10, 2020 email, November 19, 2020 email, February 3, 2021 email, and May 26, 2022 voicemail message. FOF 4-8. L & A Shipping's conduct was thus contrary to the Commission's regulations at 46 C.F.R. § 515.16(a)(2).

As noted, L & A Shipping did not file a brief in this proceeding. But in his request for a hearing, Abdoulaye Bah, President of L & A Shipping, states that “I was not fully operational immediately after we obtained our shipping license.” It is not clear what this means, or how it is relevant – if L & A Shipping was undertaking any OTI activities whatsoever, it was required to comply with the tariff-publication requirements. Mr. Bah also states that he “lost access to the email where most of the letters were sent.” Again, this is unavailing. The regulations place the affirmative duty to update the licensee’s email address on the licensee within 30 days – timely compliance with this requirement would have ensured receipt of BTA’s emails. 46 C.F.R. § 520.3(d)(3). Finally, L & A Shipping states that it is “in the process of renewing its tariff.” But no evidence has been presented that L & A Shipping’s tariff has been published as required by the regulations, or that the notification requirements of 46 C.F.R. § 520.3 have been satisfied.

Based on the foregoing, the evidence supports a finding that L & A Shipping: failed to comply with the Commission’s tariff-publication requirements (violating 46 U.S.C. § 40501(a) and 46 C.F.R. § 520.3); and also failed to respond to BTA’s lawful inquiries (violating 46 C.F.R. § 515.16(a)(2)). Accordingly, pursuant to 46 U.S.C § 40903(a) and 46 C.F.R § 515.16(a), L & A Shipping’s OTI license is revoked.

IV. ORDER

Upon consideration of the evidence of record, and for the reasons stated above, it is hereby

ORDERED that L & A Shipping’s Ocean Transportation Intermediary License No. 026495 be **REVOKED**. It is

FURTHER ORDERED that L & A Shipping cease and desist any and all ocean transportation intermediary activities.

ALEX

CHINTELLA

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ALEX CHINTELLA
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Alex M. Chintella
Administrative Law Judge